

FULL YEAR RESULTS

The Directors are pleased to announce the audited financial results for the year ended 30 June 2022.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 30 June	2022 Shs'000	2021 Shs'000
Revenue	18,032,334	17,812,638
Operating (loss)/ profit	(502,040)	616,202
Share of profit in Joint Venture	7,429	-
Finance income	41,079	19,597
Finance costs	(267,446)	(150,567)
(Loss)/ profit before tax	(720,978)	485,232
Income tax credit/ (expense)	229,815	(178,267)
(Loss)/ profit from continuing operations	(491,163)	306,965
Profit/ (loss) from discontinued operations	802,524	(13,488)
Profit for the year	311,361	293,477
Attributable to:		
Owners of the parent	187,414	179,175
Non-controlling interest	123,947	114,302
	311,361	293,477
Basic and diluted earnings per share (Shs)	2.48	2.37

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at	30 June 2022 Shs'000	30 June 2021 Shs'000
ASSETS		
Non-current assets	4,482,214	3,717,418
Current assets	5,805,436	6,046,775
Assets held for sale	-	284,586
Total Assets	10,287,650	10,048,779
EQUITY AND LIABILITIES		
Share capital	378,535	378,535
Share premium	73,148	73,148
Reserves	3,964,041	3,776,276
Minority interests	2,286,090	2,161,955
Non-current liabilities	161,529	921,224
Current liabilities	3,424,307	2,676,291
Liabilities associated with assets held for sale	-	61,350
Total Equity and Liabilities	10,287,650	10,048,779

CONSOLIDATED STATEMENT OF CASH FLOWS

	30 June 2022 Shs'000	30 June 2021 Shs'000
Cash generated from operations	289,725	1,213,305
Tax paid	(105,282)	(48,013)
Interest paid	(112,861)	(114,702)
Net cash from operating activities	71,582	1,050,590
Net cash used in investing activities	(517,615)	(133,507)
Net cash used in financing activities	(332,117)	(59,110)
Net (decrease)/ increase in cash and cash equivalents	(778,150)	857,973
At the beginning of the period	1,521,050	661,486
Effects of exchange rate changes	(8,181)	1,591
At the end of period	734,719	1,521,050

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Revenue reserve Shs'000	Equity attributable to equity holders Shs'000	Non-controlling interest Shs'000	Total Sh'000
At 1 July 2021	378,535	73,148	(33,169)	3,809,445	4,227,959	2,161,955	6,389,914
Profit for the year	-	-	-	187,414	187,414	123,947	311,361
Other comprehensive Income for the year	-	-	351	-	351	188	539
Total comprehensive income for the year	-	-	351	187,414	187,765	124,135	311,900
At 30 June 2022	378,535	73,148	(32,818)	3,996,859	4,415,724	2,286,090	6,701,814

COMMENTARY

Volumes declined by 18% compared to previous financial year. This was caused by price increase in finished goods driven by a rise in cost of raw materials. The escalation in raw material costs was attributable to global shortages, upsurge in freight cost and a weakened Kenya shilling.

Wheat grain global availability was impacted by adverse weather in source markets, the Russia-Ukraine conflict, pandemic related interruptions and increased demand globally.

Maize and soya were in short supply due to a poor harvest in the region. Southern Africa imports helped bridge the supply gap albeit at a significantly higher price.

The 1% increase in revenue compared to the previous financial year was mainly due to price adjustments to offset increases in raw material cost.

Initiatives to enhance market reach, engage consumers and drive operational efficiencies continued to gather momentum. Although credit risk remained very high, we continued to make every effort to accommodate our customers to ensure product availability.

Joint venture operations with Nutreco were commissioned in the second half of the year in Kenya and Uganda. Both ventures are projected to fortify our animal nutrition position in the region.

Divestiture from the bakery business was completed in the first half of the financial year.

Profit for the year includes gains attributable to transfer of assets to the venture companies and sale of property. The carrying value of the mills has been written down to the extent of capacity utilisation. This has been done in line with International Financial Reporting Standards and has impacted the results accordingly.

Outlook

Raw material prices are expected to remain high for the better part of the current financial year. We continue to work on interventions to manage raw material costs.

The Group will continue investing for growth, particularly by diversifying our revenue streams, to maximise value for our shareholders and customers.

The Directors do not recommend payment of dividend.

By order of the Board

W Jumba
Company Secretary
29 September 2022